

LABOUR MARKET BULLETIN
UK TECHNOLOGY SECTOR · SEPTEMBER 2026

STATUS: SATURATED AT ENTRY LEVEL – TIGHT AT THE TOP

The Saturation Point.

Why the UK tech job market feels nearly impossible to break into in 2026 — the numbers, in nine charts.

ONS ● ADZUNA ● CIPD ● LAYOFFS.FYI ● IT JOBS WATCH ● CV-LIBRARY ● HOME OFFICE ●

SWIPE FOR THE FULL PICTURE →

UK vacancies just hit a five-year low.

707,000 open roles nationwide, all sectors — down two quarters running, and the lowest count since Feb–Apr 2021.



Source: ONS, Vacancies and jobs in the UK, June 2026

Two numbers explain the queue at every door.

2.5

unemployed jobseekers for
every open vacancy in the
country

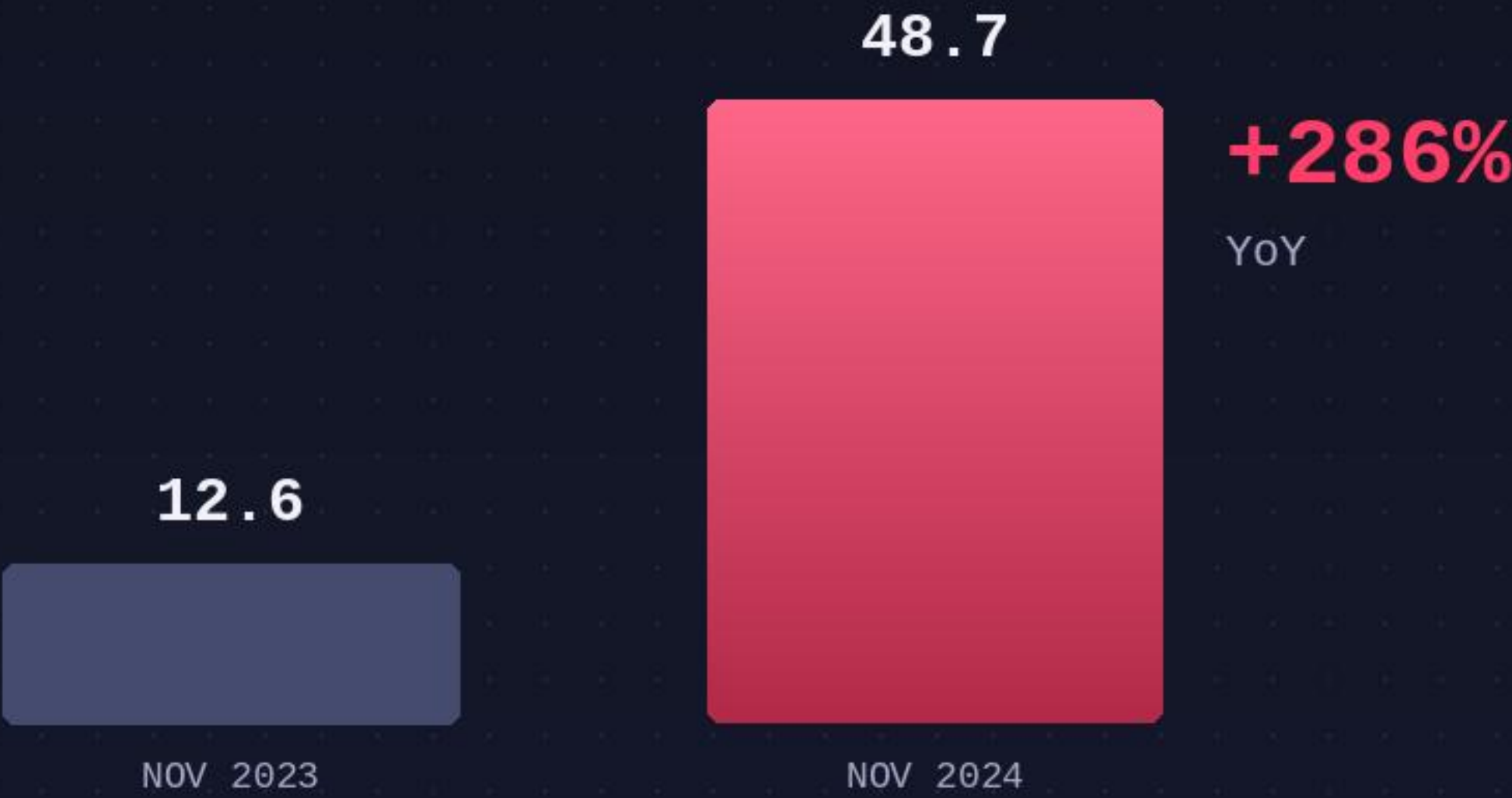
9.7%

Computer Science graduate
unemployment — worst of any
degree subject

London youth unemployment (16–24) has climbed to 22.5% — the sharpest edge of a national trend.

Every vacancy now gets buried in applications.

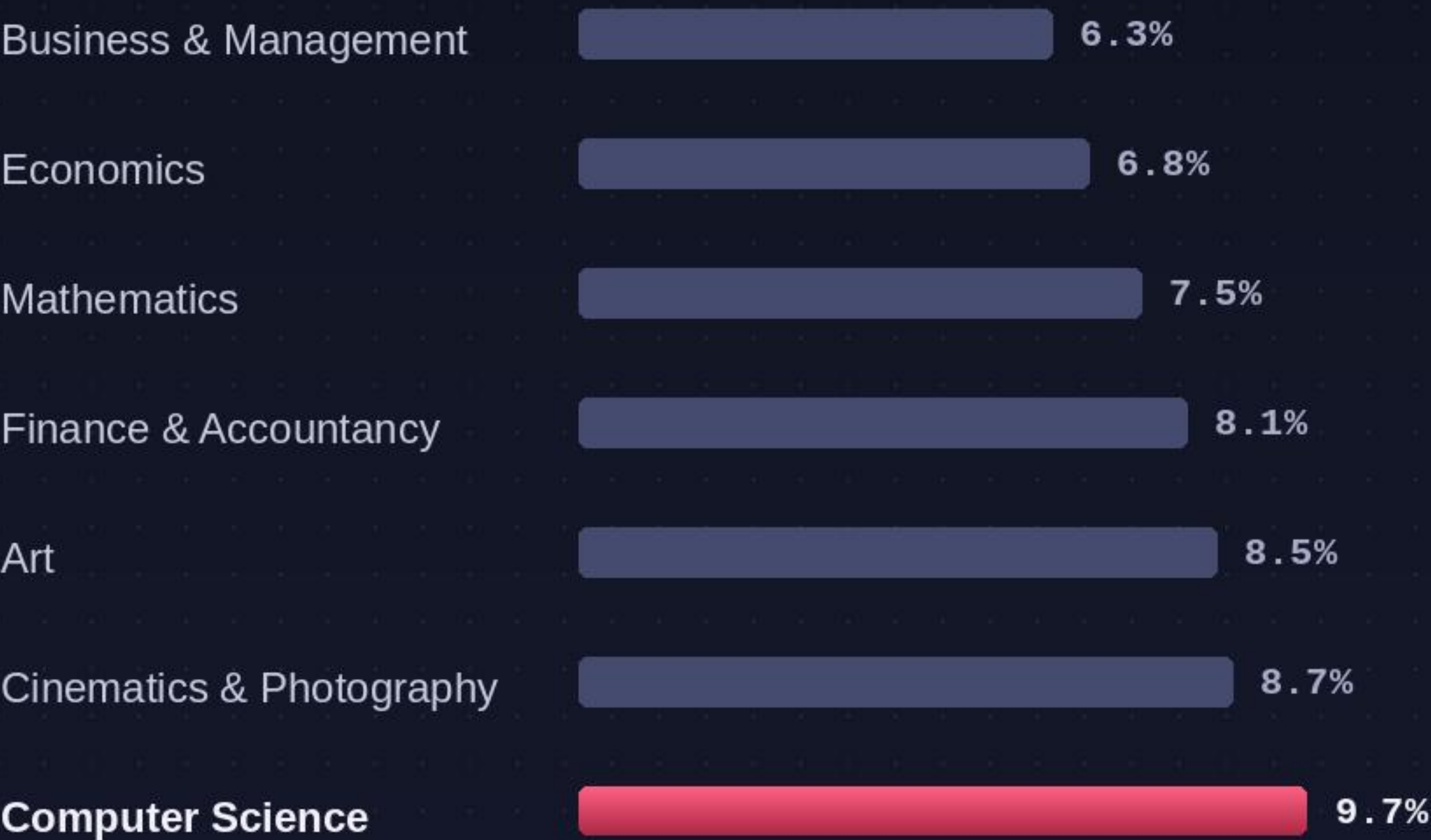
Average applications per UK vacancy nearly quadrupled year on year — and IT / software engineer is the single most applied-for job category in the country.



Source: Tribepad platform data · CV-Library/Onrec, Q4 2025

Computer Science tops the unemployment table.

Unemployment rate, 15 months after graduation:



Source: Jisic graduate outcomes, 2023 cohort

AI is doing two things at once.

Quietly absorbing the tasks juniors used to learn on, while opening a narrow band of senior roles most candidates aren't qualified for yet.

66%

of UK enterprises are cutting entry-level hiring — AI now absorbs junior tasks

3×

the rate AI-related postings are growing at, vs. the average UK job category

17%

of employers expect to shrink headcount via AI within 12 months (CIPD)

62%

of those say clerical, junior and admin roles are most exposed

Source: CompTIA, UK Tech Workforce 2026 · CIPD Labour Market Outlook

Layoffs are refilling the same applicant pool.

Global tech layoffs, Q1 by year:



+136% YoY

Q1 2026 vs. Q1 2025 — nearly half attributed directly to AI/automation

Source: Layoffs.fyi tracker · Nikkei Asia

Pay is climbing — but only for people who already have the experience.

Software Development

£33,000 entry → £82,500 senior (2.5×)

Cloud Engineering

£47,500 entry → £95,000 senior (2.0×)

Cybersecurity

£38,500 entry → £80,000 senior (2.1×)

Data & AI

£45,000 entry → £95,000 senior (2.1×)

DevOps & SRE

£44,000 entry → £92,500 senior (2.1×)

Cybersecurity vacancies +12% YoY · Software Dev postings +71% YoY, only 366 live roles

Source: IT Job Board Salary Guide 2026 · IT Jobs Watch

Even the side door is narrower now.

UK Skilled Worker visa changes, 2025–26:

- **£41,700**
new general salary floor to sponsor a Skilled Worker visa
- **111 roles removed**
occupations struck from the eligible sponsorship list
- **B1 → B2**
required English proficiency raised, from Jan 2026
- **5 → 10 years**
standard path to settlement roughly doubled
- **~2,000**
sponsor licences revoked in 2025, mostly for coding errors

Source: UK Home Office rule changes, via Centuro Global / IAS Services

The paradox, in two numbers.

71%

of employers can't fill vacancies

2.5

jobseekers per open vacancy

It isn't a raw shortage of people. It's a mismatch: a narrow band of specialist, senior-leaning skills employers need, against a much larger pool of junior and generalist candidates chasing a shrinking number of entry doors.

→ **FULL INTERACTIVE BREAKDOWN + 3D SALARY EXPLORER**

link in the comments